



Cliffco 7

5-9 Unit
DSCR

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LOAN PURCHASE PHILOSOPHY

Cliffco Mortgage Bankers Mortgage LLC (hereafter referred to as Cliffco Mortgage Bankers or Cliffco Mortgage Bankers Mortgage) evaluates many aspects of the loan but primarily relies on evaluation of the borrower's ability to repay the loan to predict loan performance. Additional characteristics of the loan are also examined including credit history, asset position, and the property being used for collateral.

Cliffco Mortgage Bankers 's DSCR 5-9 Unit Purchase Eligibility Guidelines establish the criteria under which a loan will be eligible for purchase by Cliffco Mortgage Bankers . Cliffco Mortgage Bankers does not require sellers to make any loan simply because it is eligible for purchase by Cliffco Mortgage Bankers , nor does Cliffco Mortgage Bankers prohibit sellers from originating a loan that is ineligible for purchase by Cliffco Mortgage Bankers . Sellers should rely on their own underwriting guidelines to determine whether to extend credit to any particular applicant.

Cliffco Mortgage Bankers Mortgage has a no-tolerance policy as it relates to fraud. Sellers should follow their own established fraud and identity procedures on every loan in an effort to prevent and detect fraud. Loans containing fraudulent documentation or information will immediately be declined and forwarded for further review. If there is any determination of seller involvement, the seller will be made inactive and the appropriate agencies notified. Cliffco Mortgage Bankers Mortgage will also pursue borrower fraud to the fullest extent of the law.

FAIR LENDING STATEMENT

Cliffco Mortgage Bankers Mortgage operates in accordance with the provisions of the Fair Housing Act and Equal Credit Opportunity Act. The Fair Housing Act makes it unlawful to discriminate in housing-related activities against any person because of race, color, religion, national origin, sex, handicap, or familial status. The Equal Credit Opportunity Act prohibits discrimination with respect to any aspect of a credit transaction on the basis of sex, race, color, religion, national origin, marital status, age (provided the borrower has the capacity to enter into a binding contract), receipt of public assistance, or because the borrower has in good faith exercised any right under the Consumer Credit Protection Act. Cliffco Mortgage Bankers Mortgage fully supports the letter and spirit of both of these laws and will not condone discrimination in any mortgage transaction.

GENERAL PROGRAM INFORMATION	
PROGRAM	The DSCR 5-9 Unit Program is designed for investment or non-owner-occupied loans that are designated for business purposes only. See the Cliffco Mortgage Bankers Correspondent Purchase Eligibility Guidelines for any areas not addressed in these guidelines.
OCCUPANCY	Business Purpose Investment Properties only
PROPERTY TYPES	5-9 Units Residential
LOAN PRODUCTS	• 30-year Fixed • 30-year Fixed Interest-Only • 5/6 ARM • 5/6 ARM Interest-Only
MINIMUM LOAN AMOUNT	\$350,000
MAXIMUM LOAN AMOUNT	\$2,500,000
MAXIMUM CASH-OUT	\$500,000
PREPAYMENT PENALTIES	Standard step-down prepayment penalty model
ELIGIBLE BORROWERS	• U.S. Citizen • Permanent Resident Aliens • Entity Borrower (U.S. domestic LLC) with Personal Guarantor
INELIGIBLE STATES	HI (Isla zones 1 & 2)
REQUIRED FORMS	• Business Purpose & Occupancy Affidavit (signed by Borrowers, Borrowing Entities and Guarantors) • Cliffco Mortgage Bankers Guaranty Form (if applicable) • First priority mortgage/deed of trust for each property • First priority blanket assignment and subordination of leases and rents • Assignment and subordination of property management agreement (if applicable)
AGE OF DOCUMENTATION	All documents must be dated within 120 days of closing.
COMPLIANCE	Compliance with all applicable federal and state regulations.
TRANSACTIONS	
PURCHASE	The lesser of purchase price or appraised value of subject property is used to calculate LTV.
REFINANCE LOAN-TO-VALUE	• Property acquired > 6 months from note date: appraised value is used to determine LTV. • Property acquired < 6 months from note date: lesser of current appraised value or previous purchase price plus documented improvements use for LTV.

GENERAL LEASE REQUIREMENTS	• An executed lease with 3 months remaining required for all units in the subject property for refinance transactions. • Monthly lease payments must be consistent with market rents. • Copies of any existing leases must be provided for all transactions. • The property cannot be occupied by a Guarantor, any member of the Borrowing Entity, or any family member. • Each leased property must be used for residential purposes. • No individual room leases, Single Room Occupancy (SRO), or boarder leases permitted. • Leases must be in U.S. dollars. • No commercial use allowed. • No vacation or seasonal rentals allowed. • No purchase or sale-leaseback options are permitted. • Leasehold properties are not permitted. • No leases with a term of > 3 years. • Lease must have an initial term of at least 12 months. • Tenant must not have requested forbearance or missed rent any payments by 30 days or more in the last 12 months.
LEASED UNITS	• Leased properties are defined as those with a currently active lease with a minimum initial term of 12 months, between unrelated parties. • Month-to-month leases are permitted if rolled 12 months from initial lease term and lease agreement includes month-to-month clause. • Month-to-month leases permitted with a prior active lease of 12 months and proof of rent collection for at least 3 consecutive months prior to note date. • Proof of receipt of security deposit for new lease required.
UNLEASED UNITS	• Vacant units use 75% of market rents for DSCR calculation. • Properties with no proof of rent collections or receipt of security deposit are considered as unleased. • For <u>refinance</u> transaction, no more than 2 vacant units allowed. Any vacant unit must provide evidence of a recent lease within the last two months. • For <u>purchase</u> transaction, no more than 2 vacant units allowed. If there is an existing lease on the property that is being transferred to the borrower, it must be verified that the lease does not contain any provision impacting the lender's first lien position of the property.
RATE/TERM REFINANCE	Cash back may not exceed the lesser of 2% of the new mortgage balance or \$2,000.
CASH-OUT REFINANCE	Cash-out proceeds for business purposes only. Signed Business Purpose Affidavit is required.
INELIGIBLE TRANSACTIONS	• Non-arm's length transactions • Land contract or contract for deed • Lease with purchase option • Flip transactions (seller in title < 180 days)

BORROWERS	
FIRST-TIME INVESTORS	First-Time Investors are not allowed. Borrower must have 12-month history of investment property ownership in the most recent 12 months.
ENTITY BORROWER REQUIREMENTS	- Entity ownership is limited to a maximum of 4 owners of the Borrowing Entity with 25% or greater ownership interest in Borrowing Entity. - Business purpose and activities of the Borrowing Entity are limited to ownership and management of real estate. - A Personal Guarantor is required and must be beneficial owner. - Each member of the Borrowing Entity providing a personal guaranty (each a "Personal Guarantor") must complete a loan application or similar credit application signed in their individual capacity. - Borrowing Entities and Guarantors must also receive notice of the loan and its terms prior to closing. - If a standard FNMA Form 1003 is used, the section labeled, "Title to the Property Will be Held in What Name(s)," should include the Borrowing Entity name. - U.S. Citizens, Permanent Resident Aliens, and Non-Permanent Resident Aliens are eligible to act as Personal Guarantors. - In addition, members of the LLC may also not be a trust. See APPENDIX for complete Entity documentation requirements.
PROPERTY MANAGEMENT EXPERIENCE	Borrowers that intend to self-manage the property must meet at least one of the following requirements: - Have two years of experience managing income producing properties. - Have a certification or proof of equivalent coursework in real estate property management. - New managers (defined as having less than 2 years property management experience) are permitted with a 700 minimum FICO.
CUSTOMER IDENTIFICATION (CIP)	Verification of name, date of birth, address, identification number of all Borrowers and Guarantors is required.
FRAUD REPORT	Third-party fraud detection report is required for all Borrowers, Guarantors, and all members of each Borrowing Entity.
VESTING	Ownership must be fee simple and vesting in the name of Borrower or Borrowing Entity only.
MULTIPLE FINANCED PROPERTIES	Cliffco Mortgage Bankers exposure may not exceed \$10M aggregate with a maximum of 10 loans for each Borrower or Borrowing Entity.
CREDIT ANALYSIS	
CREDIT REPORT	- Credit report and SSN required for every Borrower or Personal Guarantor. - Qualifying score is the lowest mid-score for any Borrower or Personal Guarantor.
TRADELINES	3 tradelines reporting for 12+ months, 2 tradelines reporting for 24+ months, or 1 tradeline reporting for 36+ months. All require activity in the last 12 months. - All Borrowers and Guarantors must meet minimum tradeline requirements. - Limited Tradelines not allowed.
MORTGAGE HISTORY	A 24-month housing history is required on 5-9 Unit transactions.

EVIDENCE OF PRIMARY RESIDENCE	- All Borrowers and Guarantors must maintain a primary residence. Evidence of primary occupancy is required. - Borrowers living rent free may be considered on a case-by-case basis with compelling evidence of continued occupancy.
COLLECTIONS AND CHARGE-OFFS	The following may remain open: - Collections/charge-offs < 24 mos old with maximum cumulative balance of \$2,000. - Collections/charge-offs ≥ 24 mos old with maximum of \$2,500 per occurrence. - Collections/charge-offs that have passed beyond statute of limitations for that state. - All medical collections. - Collection/charge-off balances exceeding amounts listed above must be paid in full.
JUDGMENTS AND TAX LIENS	All judgments or liens affecting title must be paid to insure lien position without exception. Court-ordered judgments may remain open when one of the following options is met: - The amount is the lesser of \$5,000 per occurrence or 2% of the loan amount; or - Judgments or lien has passed beyond the statute of limitations for that state; or - The borrower or guarantor is currently in a repayment agreement with the creditor. Outstanding state and federal tax liens or delinquent obligations may remain open on purchase transactions. All of the following requirements must be met: - A copy of the repayment agreement is obtained; and - A minimum of 3 months has elapsed on the plan and evidence of timely payments for the most recent 3 months is provided; and - The title company must provide written confirmation confirming (a) the title company is aware of the outstanding tax lien, and (b) there is no impact to first lien position.
BANKRUPTCY AND FORECLOSURE SEASONING	84 months
RATIOS AND QUALIFYING	
MINIMUM DSCR	1.15
DSCR CALCULATION	- DSCR = Gross Rental Income / [P]ITIA or ITIA (interest-only loans). - Use the lower of (a) executed lease agreement or (b) market rents. - If unit is unleased, use 75% of market rents. - Short-term rental income not allowed.
ADJUSTABLE-RATE	The greater of the note rate or the fully indexed rate is used to determine the qualifying PITIA.
INTEREST-ONLY	- Interest-only loans qualify using the interest-only payment, including escrows, to determine qualifying PITIA. 5% LTV reduction required.
ASSET ANALYSIS	
ASSETS	Assets must be seasoned for 60 days or sourced.
RESERVES	6 months PITIA. - Net proceeds from transaction may not be used to meet minimum required reserves.

GIFT FUNDS	Not allowed.
INTERESTED PARTY CONTRIBUTIONS	Interested party contributions may not exceed 3%.
SUBORDINATE FINANCING	Not allowed.
PROPERTY	
APPRAISAL REQUIREMENTS	• Full Interior Appraisal (FHLMC 71A, FHLMC 71B – max \$750,000 loan amount, FNMA 1050, or similar short form used to appraise 5+ residential properties) • Commercial BPO (2nd appraisal required if variance of ≥ 10% in value) • Attachments required for appraisal reports: rent roll, income and expense statement, aerial photo, sketch or floor plan, map, plot or survey, and appraiser qualifications
APPRAISAL REPORT ATTACHMENTS	Attachments required for appraisal reports: • Purchase Agreement • Map, Plot, or Survey • CAM (Common Area Maintenance Expense) • Legal Description • Deeds and Tax Certificate • Leases • Rent Roll • Site Plans • Aerial Photo • Sketch or Floor Plan • Appraiser Qualifications • Operating Income and Expense Statements • Environmental Assessment
TRANSFERRED APPRAISALS	Transferred appraisals are only allowed when the seller has received approval from Cliffco Mortgage Bankers in advance for their appraisal transfer policy in order to ensure compliance with the Home Valuation Code of Conduct (HVCC) and Appraiser Independence Requirements.
AGE OF APPRAISALS	Valid for 120 days and are not eligible for appraisal updates.
DECLINING MARKET	5% LTV reduction required if appraisal indicates property is located within a declining market.
DEFERRED MAINTENANCE	• Properties in C5 or C6 condition are not acceptable. • Deferred maintenance allowed if not structural in nature. • Deferred items may be left as-is if the aggregate cost does not exceed \$2,000 or impact the safety or habitability of the property.
ACREAGE	Maximum 2 acres. No rural properties permitted.
RENT CONTROL	Properties located in states with rent control regulations are allowed when both of the following requirements have been met: • Rent control regulations must allow for a <u>minimum</u> 5% annual rent increase, and • DSCR must be ≥ 1.35.

INELIGIBLE PROPERTIES	See APPENDIX for list of ineligible property types.
INSURANCE	
PROPERTY INSURANCE	Hazard insurance coverage should be in the amount corresponding to: • 100% of the insurable value of improvements, as established by the property insurer (Replacement Cost Estimator or equivalent); or • The unpaid principal balance of the mortgage, as long as it equals the minimum amount (80% of the insurable value of the improvements) required to compensate for damage or loss on a replacement cost basis; or • 100% Replacement Cost Coverage as stated on the policy declaration page; or • Total dwelling coverage equal to the final loan amount. • Policy must be effective for at least 60 days after the date of funding.
FLOOD INSURANCE	Flood insurance is required for any property located within any area designated by the FEMA as a Special Flood Hazard Area (SFHA). The minimum amount of flood insurance required for most first mortgages secured by commercial properties is the lower of: • 100% of the replacement cost of the insurable value of the improvements; • The maximum insurance available from the National Flood Insurance Program (NFIP), which is currently \$500,000 per dwelling; or • The unpaid principal balance of the mortgage.
RENT-LOSS INSURANCE	Rent Loss Insurance for the subject property is required and must equal at least 6 months PITIA for the subject property.
TITLE	
TITLE POLICY REQUIREMENTS	• Loans must be covered by a title insurance policy that has been paid in full and is valid, binding, and remains in full force and effect. • Preliminary title must indicate that final title policy will be issued after funding.
24-MONTH CHAIN OF TITLE	All files must contain a 24-month title history from an acceptable source.
SURVEY REQUIREMENTS	A survey is required in the following states: Florida, Kansas, New Mexico, and Texas.
ESCROWS	Monthly escrow for annual taxes, hazard insurance, flood insurance, and HO-6 insurance coverage is required, unless otherwise specified by applicable state law or an escrow waiver has been elected (non-HPML loans).
STACKING ORDER	
STACKING ORDER	<u>APPLICATION</u> 1003 1008 <u>CREDIT</u> Credit report Customer identification

	Entity documentation Guarantor documentation VOM/VOM and/or canceled rent checks Credit explanation letters Complete bankruptcy papers Divorce decree or separation agreement Miscellaneous credit documentation <u>INCOME</u> Signed Business Purpose Affidavit Lease agreements Miscellaneous documentation for DSCR <u>ASSETS</u> Asset statements Retirement or investment statements Large deposit verification Gift documentation Earnest money verification Miscellaneous asset documentation <u>PROPERTY</u> Appraisal Commercial BPO Market rent addendum Purchase agreements and addendums Preliminary title policy Tax cert Flood cert Hazard and/or flood insurance Fraud Report Compliance Report MERS Disclosures
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APPENDIX

1. ENTITY BORROWER DOCUMENTATION REQUIREMENTS

- Articles of Organization/Certificate of Formation
- Secretary of State Search

- Operating Agreement/Bylaws (or equivalent document based on state requirements including an authorization to encumber real property and signing authority)
- Certificate of Good Standing
- EIN-Employer Identification Number (or W-9 with acceptable third-party verification)
- Evidence of signing authority for Guarantors signing on behalf of the entity

ARTICLES OF ORGANIZATION/CERTIFICATE OF FORMATION

The following requirements apply to the Articles of Organization/Certificate of Formation:

- The Articles identify the state in which the LLC was organized.
- The Articles is the document to be used to determine the exact name of the LLC.
- In some states, the Articles identify the Manager or Managing Member.

SECRETARY OF STATE SEARCH

The following requirements apply to the Secretary of State search:

- After the state in which the LLC was formed has been identified, search for the LLC on the web site of the Secretary of State for the applicable state.
- The web site will:
 - confirm the state in which the LLC was organized;
 - confirm if the LLC is in good standing with the state (not all state websites will confirm good standing); and
 - contain the most recent Filings filed with the Secretary of State by the LLC. These filings may be labelled “Annual Reports,” “Statement of Information,” or “Filings.”
- Open the most recent Statement of Information/Filing to determine the person or entity that manages the LLC.
 - The LLC will be managed by either a Manager or a Managing Member.
 - If the managing person or managing entity in the Statement of Information does not match the managing person or managing entity in the Operating Agreement, the discrepancy must be resolved.

OPERATING AGREEMENT

The following requirements apply to the Operating Agreement/Bylaws (or equivalent document based on state requirements including an authorization to encumber real property and signing authority):

- Review the management section of the Operating Agreement.
 - This section identifies whether the LLC is managed by (i) one or more Managers, or (ii) the Members of the LLC. The Section should also provide the name(s) of the initial Manager(s).
 - Review the section to ensure that the Manager or Managing Member has the authority to sign the loan document or agreement.
- The signature page of the Operating Agreement will identify the Managers and Members.
- Confirm if there are any amendments to the Operating Agreement or Resolutions/Consents changing the identity of the Managers or Members.

- If the identity of the Managers or Members in the Operating Agreement differ from the Articles/Certificate or the Statement of Information/Filing on the Secretary of State's website, the discrepancy must be resolved.

CERTIFICATE OF GOOD STANDING

- To ensure that the LLC remains in good standing with the state, a Certificate of Good Standing from the Secretary of State of the state or organization should be ordered.
- If the LLC is obtaining a loan secured by real property in a state that is different from the LLC's state of organization, Cliffco Mortgage Bankers must obtain a Certificate of Good Standing in that additional state.
- For example, if a Delaware LLC is obtaining a loan to buy a rental property in the state of Florida, a Lender should obtain a Certificate of Good Standing from the state of Florida to ensure that the LLC registered as a foreign company with the Florida Secretary of State.
- Ensure that the Certificate of Good Standing is dated no more than 30 days prior to closing.

2. INELIGIBLE PROPERTY TYPES

- SFR
- 2-4 Units
- Acreage > 2 acres
- Assisted Living/Continuing Care Facilities
- Boarding Houses
- Condominiums, Condotels or Condo Hotels
- Co-operative Units
- Dwellings with < 600 Square Feet of GLA
- Farms or Hobby Farms
- Hawaii Properties Located in Lava Zones 1 or 2
- Homes on Indian Reservations
- Log Homes
- Manufactured Homes
- Mixed-Use Properties
- Modular Homes
- Properties Not in Compliance with Local Zoning
- Properties with Known Adverse Environmental Conditions
- Rural Properties
- Townhomes
- Unique Properties (Earth Homes, Berm Homes, Dome Homes, Barndominiums, Shouses, etc.)
- Vacant Land